

SiyaBusa ERP

SHAREHOLDERS AGREEMENT TEMPLATE

Investor & Partner Documentation

Masaphokati Technologies (Pty) Ltd

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Effective Date: January 2026

Department: Executive

Classification: Confidential

WE RULE. WE GOVERN. WE EMPOWER.

SHAREHOLDERS AGREEMENT

Comprehensive shareholders agreement template governing the relationship between founders and investors, including transfer restrictions, reserved matters, and exit provisions.

Shareholders Agreement

BETWEEN:

1. **Masaphokati Technologies (Pty) Ltd** (Registration Number: [____]) (the "Company")
2. **The Founder(s)** as set out in Schedule 1 (the "Founders")
3. **The Investor(s)** as set out in Schedule 2 (the "Investors")

(collectively the "Parties" and individually a "Party")

Recitals

WHEREAS:

- A. The Company is a private company duly incorporated in terms of the laws of the Republic of South Africa.
- B. The Company is engaged in the business of developing and commercializing enterprise resource planning software under the brand "SiyaBusa ERP".
- C. The Founders are the original shareholders of the Company.
- D. The Investors wish to subscribe for shares in the Company on the terms set out herein.
- E. The Parties wish to regulate their relationship as shareholders of the Company.

NOW THEREFORE the Parties agree as follows:

1. Definitions and Interpretation

1.1 Definitions

Term	Definition
"Affiliate"	Any entity that directly or indirectly controls, is controlled by, or is under common control with a Party
"Board"	The board of directors of the Company
"Business Day"	Any day other than a Saturday, Sunday, or public holiday in South Africa
"Companies Act"	The Companies Act, No. 71 of 2008, as amended
"Fair Market Value"	The value determined in accordance with Clause 8
"Intellectual Property"	All patents, trademarks, copyrights, trade secrets, and other IP owned by or licensed to the Company
"MOI"	The Memorandum of Incorporation of the Company
"Ordinary Resolution"	A resolution passed by more than 50% of votes cast
"Shares"	Ordinary shares in the share capital of the Company
"Special Resolution"	A resolution passed by at least 75% of votes cast
"Transfer"	Any sale, assignment, pledge, encumbrance, or other disposition of Shares

2. Share Capital

2.1 Authorized Shares

The authorized share capital of the Company is **1,000,000,000 (One Billion) Ordinary Shares** with no par value.

2.2 Issued Shares

Upon completion of the Seed Round, the issued share capital shall be:

Shareholder	Number of Shares	Percentage
Founders (as per Schedule 1)	100,000,000	83.33%
Investors (as per Schedule 2)	20,000,000	16.67%
Total	120,000,000	100%

2.3 No Further Issues

Except as provided herein or with the consent of shareholders holding 75% of issued shares, the Company shall not:

- Issue any additional Shares
- Grant any options or rights to acquire Shares
- Issue any convertible securities

3. Governance

3.1 Board of Directors

3.1.1 Composition

The Board shall comprise:

- **Two (2) Founder Directors** - appointed by the Founders
- **One (1) Independent Director** - appointed by agreement of Founders and Investors

3.1.2 Board Observer

Any Investor holding 5% or more of the issued shares shall be entitled to appoint one observer to attend Board meetings in a non-voting capacity.

3.1.3 Board Meetings

- The Board shall meet at least **quarterly**
- Meetings may be held in person or via video conference
- **Quorum:** Two directors, including at least one Founder Director
- **Notice:** At least 7 Business Days (or shorter with consent)
- **Chairman:** The CEO shall chair meetings (with no casting vote)

3.1.4 Board Decisions

Board decisions shall be by majority vote, provided that the following matters require **unanimous** Board approval:

- Annual budget and business plan
 - Any expenditure exceeding R100,000 outside approved budget
 - Appointment or termination of senior executives
 - Any related-party transaction
 - Any material change to the business
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3.2 Reserved Matters

The following matters shall require approval by **Shareholders holding 75% of issued shares**:

3.2.1 Constitutional Matters

- Amendment of the MOI
- Change of Company name
- Change of registered office

3.2.2 Capital Matters

- Issue of new shares or grant of options
- Reduction of share capital
- Conversion or reclassification of shares
- Any reorganization of share capital

3.2.3 Corporate Matters

- Merger, consolidation, or scheme of arrangement
- Sale of all or substantially all assets
- Listing on any stock exchange
- Voluntary liquidation or dissolution

3.2.4 Financial Matters

- Borrowings exceeding R1,000,000
 - Guarantees or indemnities exceeding R500,000
 - Acquisition or disposal of assets exceeding R500,000
 - Any dividend declaration
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3.3 Shareholder Meetings

- **Annual General Meeting:** Within 6 months of financial year-end
 - **General Meetings:** As required
 - **Notice:** 15 Business Days (or shorter with consent of 90% shareholders)
 - **Quorum:** Shareholders holding 50% of shares
 - **Voting:** One vote per share
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4. Information Rights

4.1 Regular Reporting

The Company shall provide to all Shareholders:

Report	Frequency	Content
Monthly Update	Monthly	Revenue, customers, cash position, key metrics
Management Accounts	Quarterly	Income statement, balance sheet, cash flow
Board Pack	Quarterly	Comprehensive business update
Audited Financials	Annually	Full audited financial statements
Budget & Plan	Annually	Annual budget and business plan

4.2 Access Rights

Shareholders and their representatives shall have reasonable access to:

- Books and records of the Company
- Management for questions and discussions
- Company premises (with reasonable notice)

4.3 Confidentiality

All information provided shall be kept confidential and used solely for purposes of monitoring the investment.

5. Transfer of Shares

5.1 General Restriction

No Shareholder may Transfer any Shares except in accordance with this Agreement.

5.2 Permitted Transfers

The following Transfers are permitted without restriction:

- Transfer to an Affiliate (provided the Affiliate agrees to be bound by this Agreement)
- Transfer pursuant to the Tag-Along or Drag-Along provisions
- Transfer approved in writing by all other Shareholders

5.3 Right of First Refusal (ROFR)

5.3.1 Offer Notice

Before any Transfer (other than Permitted Transfers), the selling Shareholder ("Seller") must give written notice ("Offer Notice") to the Company and other Shareholders specifying:

- Number of Shares to be sold
- Price per Share
- Other material terms
- Identity of proposed purchaser (if any)

5.3.2 Exercise Period

Other Shareholders shall have **30 Business Days** to elect to purchase all (not part) of the offered Shares, pro-rata to their holdings.

5.3.3 Failure to Exercise

If the ROFR is not exercised in full, the Seller may proceed with the Transfer to a third party on terms no more favorable than those in the Offer Notice.

5.4 Tag-Along Rights

5.4.1 Trigger

If any Shareholder(s) holding 25% or more propose to Transfer Shares to a third party ("Proposed Sale"), all other Shareholders shall have the right to participate ("Tag-Along Right").

5.4.2 Notice

The selling Shareholder(s) shall give written notice to all other Shareholders at least **30 Business Days** before the Proposed Sale.

5.4.3 Exercise

Other Shareholders may elect to sell a pro-rata portion of their Shares in the Proposed Sale, on the same terms and conditions.

5.5 Drag-Along Rights

5.5.1 Trigger

If Shareholders holding **75% or more** of issued Shares approve a sale of all Shares to a bona fide third party ("Approved Sale"), they may require all other Shareholders to sell their Shares ("Drag-Along Right").

5.5.2 Terms

All Shareholders shall sell on the same terms and conditions, and receive the same price per Share.

5.5.3 Notice

At least **30 Business Days** notice shall be given to dragged Shareholders.

6. Anti-Dilution Protection

6.1 Weighted Average Anti-Dilution

If the Company issues Shares at a price per Share less than the price paid by the Investors ("Down Round"), the Investors shall be entitled to additional Shares such that their effective price per Share is adjusted using the broad-based weighted average formula.

6.2 Exceptions

Anti-dilution protection shall not apply to:

- Shares issued pursuant to an approved employee share option plan (up to 10% of issued shares)
 - Shares issued in connection with a strategic partnership approved by the Board
 - Shares issued in an acquisition transaction
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7. Pre-Emptive Rights

7.1 Future Issues

In any future issue of Shares (other than exceptions in 6.2), each Shareholder shall have the right to subscribe for their pro-rata share of the new Shares, on the same terms as offered to new investors.

7.2 Exercise Period

Shareholders shall have **20 Business Days** to exercise pre-emptive rights from receipt of notice.

8. Valuation

8.1 Valuation Events

Fair Market Value shall be determined for:

- ROFR transactions where no third-party price exists
- Employee share schemes
- Other situations requiring valuation

8.2 Valuation Process

1. **Agreement:** Parties first attempt to agree on value
 2. **Expert Determination:** If no agreement within 15 Business Days, an independent valuator shall be appointed
 3. **Valuator Selection:** The Parties shall agree on the valuator, or failing agreement, the President of SAICA shall appoint one
 4. **Binding:** The valuator's determination shall be final and binding
 5. **Costs:** Costs shall be borne equally by the Parties
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9. Confidentiality

9.1 Confidential Information

Each Party agrees to keep confidential all information relating to:

- The business and affairs of the Company
- The terms of this Agreement
- Any information designated as confidential

9.2 Exceptions

Confidentiality obligations do not apply to information that:

- Is or becomes publicly available (other than through breach)
- Was known to the receiving Party before disclosure
- Is independently developed by the receiving Party
- Is required to be disclosed by law or regulation

9.3 Survival

Confidentiality obligations survive termination of this Agreement for **5 years**.

10. Non-Compete and Non-Solicitation

10.1 Founder Non-Compete

During their involvement with the Company and for **2 years** thereafter, Founders shall not:

- Engage in any business competing with the Company
- Solicit any customers or suppliers of the Company
- Solicit any employees of the Company

10.2 Investor Carve-Out

This clause does not restrict Investors from making investments in other companies.

11. Intellectual Property

11.1 Company Ownership

All Intellectual Property created by or for the Company shall be owned exclusively by the Company.

11.2 Founder Assignment

The Founders hereby assign to the Company all Intellectual Property created by them in relation to the business.

12. Deadlock

12.1 Deadlock Event

A deadlock occurs if the Board or Shareholders are unable to reach a decision on a Reserved Matter after **30 days** of good faith negotiation.

12.2 Resolution Process

1. **Escalation:** The matter shall be escalated to the respective principals of each Party
 2. **Mediation:** If unresolved within 15 days, the Parties shall submit to mediation
 3. **Buy-Out:** If still unresolved, any Party may trigger a buy-out procedure
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13. Termination

13.1 Termination Events

This Agreement terminates upon:

- Written agreement of all Parties
- Listing of Shares on a stock exchange
- Acquisition of the Company
- Liquidation of the Company

13.2 Surviving Provisions

Confidentiality, governing law, and dispute resolution provisions survive termination.

14. General Provisions

14.1 Entire Agreement

This Agreement constitutes the entire agreement between the Parties regarding its subject matter.

14.2 Amendment

No amendment shall be effective unless in writing and signed by all Parties.

14.3 Waiver

No waiver of any right shall be effective unless in writing.

14.4 Severability

If any provision is invalid, it shall be severed and the remaining provisions shall continue in effect.

14.5 Notices

Notices shall be in writing and delivered by hand, registered mail, or email to the addresses set out in the Schedules.

14.6 Governing Law

This Agreement shall be governed by the laws of the Republic of South Africa.

14.7 Dispute Resolution

Any dispute shall be resolved by:

1. Good faith negotiation
2. Mediation under AFSA rules
3. Arbitration under AFSA rules

14.8 Costs

Each Party shall bear its own costs in connection with this Agreement.

Schedules

Schedule 1: Founders

Name	ID Number	Address	Shares	%
[Founder Name]	[ID Number]	[Address]	100,000,000	83.33%

Schedule 2: Investors

Name	ID/Reg Number	Address	Investment	Shares	%
[Investor 1]	[Number]	[Address]	R[Amount]	[Shares]	[%]
[Investor 2]	[Number]	[Address]	R[Amount]	[Shares]	[%]
Total			R2,000,000	20,000,000	16.67%

Schedule 3: Subscription Price

- **Price Per Share:** R0.10 (Ten Cents)
- **Total Shares Issued:** 20,000,000
- **Total Consideration:** R2,000,000

Signatures

SIGNED at _____ on this ____ day of _____ 2026

FOR THE COMPANY:

Name:	_____
Capacity:	Director
Signature:	_____

FOUNDER(S):

Name: _____

ID Number: _____

Signature: _____

INVESTOR(S):

Name: _____

ID/Reg: _____

Signature: _____

Disclaimer

This is a template shareholders agreement for discussion purposes. Legal advice should be obtained before execution. Each Party should consult with their own legal advisors.

Masaphokati Technologies (Pty) Ltd

January 2026